

STALWARTS

- These are big companies that aren't likely to go out of business. The key issue is price, and the p/e ratio will tell you whether you are paying too much.
- Check for possible diworseifications that may reduce earnings in the future.
- Check the company's long-term growth rate, and whether it has kept up the same momentum in recent years.
- If you plan to hold the stock forever, see how the company has fared during previous recessions and market drops. (McDonald's did well in the 1977 break, and in the 1984 break it went sideways. In the big Sneeze of 1987, it got blown away with the rest. Overall it's been a good defensive stock. Bristol-Myers got clobbered in the 1973–74 break, primarily because it was so overpriced. It did well in 1982, 1984, and 1987. Kellogg has survived all the recent debacles, except for '73–'74, in relatively healthy fashion.)

CYCLICALS

- Keep a close watch on inventories, and the supply-demand relationship. Watch for new entrants into the market, which is usually a dangerous development.
- Anticipate a shrinking p/e multiple over time as business recovers and investors look ahead to the end of the cycle, when peak earnings are achieved.
- If you know your cyclical, you have an advantage in figuring out the cycles. (For instance, everyone knows there are cycles in the auto industry. Eventually there are going to be three or four up years to follow three or four down years. There always are. Cars get older and they have to be replaced. People can put off replacing cars for a year or two longer than expected, but sooner or later they are back in the dealerships.

The worse the slump in the auto industry, the better the recovery. Sometimes I root for an extra year of bad sales, because I know it will bring a longer and more sustainable upside.

Lately we've had five years of good car sales, so I know we are in the middle, and perhaps somewhere close to the end, of a prosperous cycle. But it's much easier to predict an upturn in a cyclical industry than it is to predict a downturn.)

FAST GROWERS

- Investigate whether the product that's supposed to enrich the company is a major part of the company's business. It was with L'eggs, but not with Lexan.